

JUDGMENT SHEET
IN THE ISLAMABAD HIGH COURT,
ISLAMABAD

CASE NO. : W.P. NO.2911-2022

Universal Tobacco Company Pvt. Ltd. & Another

Vs.

**Federation of Pakistan through Federal Secretary, Ministry of Finance,
Islamabad etc.**

CASE NO. : CRL. ORG. NO.195-2022

Universal Tobacco Company Pvt. Ltd. & Another

Vs.

Tariq Husain Shaikh, Project Director, Federal Board of Revenue, Islamabad

CASE NO. : W.P. NO.3001-2022

Sarhad Cigarettes Industries Pvt. Ltd. etc.

Vs.

**Federation of Pakistan through Secretary Revenue Division, Ministry of
Finance, Islamabad etc.**

CASE NO. : W.P. NO.3043-2022

Paramount Tobacco Company Pvt. Ltd. etc.

Vs.

**Federation of Pakistan through Secretary Revenue Division, Ministry of
Finance, Islamabad etc.**

Petitioners by : Mr. Mansoor Usman Awan, Mr. Wasim Abid & Mr. Junaid Jahangir, Advocates

Respondents by : Barrister Qasim Wadood, Syed Ishfaq Hussain Naqvi, Mr. Saad Shoaib Wyne, Mr. Wasi Ullah Khan & Mr. Fawaz Khan, Advocates for FBR

Mr. Aziz Ul Haq Nishtar, Advocate (respondent No.5)/Pakistan Tobacco Company

Mr. Munawwar Iqbal Duggal, Additional Attorney General, Mr. Fazal Ur Rehman Khan Niazi, Deputy Attorney General and Mr. Azmat Bashir Tarar, Assistant Attorney General.

Date of hearing : 19.01.2023

AAMER FAROOQ C.J. The present judgment shall decide instant writ petition as well as W.P. No.3001-2022 & W.P. No.3043-2022 & Crl. Org. No.1952022.

2. In all the writ petitions, petitioners are the companies engaged in the business of manufacturing as well as sale of cigarettes; they are aggrieved of amendments made in the law i.e. section 40C of the Sales Tax Act, 1990 as well as Chapter XIV-B of Sales Tax Rules, 2006 and also Sales Tax General Order No.01 of 2021 dated 11.03.2021; Sales Tax General Order No.08 of 2022 dated 18.01.2022; Addendum to Sales Tax General Order No.08 of 2022 dated 26.04.2022 and FBR letter dated

No.2911-2022 etc.

18.05.2022 issued to the Chief Commissioners along with FBR letter dated 30.06.2022.

3. Mr. Mansoor Usman Awan, Advocate Supreme Court, leading arguments on behalf of the petitioners, contended that through amendments made in Finance Act, 2013, section 40C was added to the Sales Tax Act, 1990. It was submitted that under the referred statute, any registered person or class of registered persons or any goods or class of goods may be made, subject to tracking of production, sales, clearances, stocks or any other relevant activity and the such goods are to be removed or sold through the relevant track and devices. Learned counsel pointed out that in 2013, provision had only two subsections, whereas in the Finance Act, 2015, subsection (3) was added in section 40C *ibid*, by virtue of which, a registered person mentioned in subsection (2), was to acquire the stamps, stickers etc. from the licensee appointed by the Board against the price approved by the Board, which also would include cost of equipment installed by such licensee in the premises of the said registered person. Learned counsel contended that amendments have been made in section 40C through different Finance Acts, which could not have been done, as the same was not a money bill and did not classify as such. It was submitted that by virtue of the referred provision, fee was sought to be imposed upon the petitioners and where such is the matter, a bill was to undergo normal rigors of the procedure before becoming a statute and did not enjoy privilege of money bill, which under the Constitution, was to be passed only by National Assembly. In support of his contentions, learned counsel placed reliance on cases mentioned below ^[1]. Learned counsel contended that bare reading of the provision shows that fee has been imposed and the Parliament (National Assembly) was not competent to legislate in the matter solely which also had to be presented before the Senate to become law. Learned counsel pointed out that in such state of affairs, section 40C is *ultra vires* the Constitution and needs to be declared so on the basis of case law footnoted below^[2].

4. Learned counsel further pointed out that Chapter XIV-B was added to Sales Tax Rules, 2006 through SRO No.250(I)/2019 dated 26.02.2019, which prescribes the mechanism and the rules for electronic monitoring, tracking and tracing of specified goods and licensing thereof. It was contended that referred notification has been promulgated to section 40C of Sales Tax Act, 1990, which in itself, is *ultra vires*

1 Federation of Pakistan and another Vs. Durrani Ceramics and others (2014 SCMR 1630), Workers Welfare Funds and Others Vs. East Pakistan Chrome Tannery Pvt. Ltd. (PLD 2017 Supreme Court 28) & Messrs Khurshid Soap and Chemical Industries Pvt. Ltd. and others Vs. Federation of Pakistan (PLD 2020 Supreme Court 641)

2 Engineer Iqbal Zafar Jhagra Vs. Federation of Pakistan (2013 SCMR 1337), Human Rights Case No.14392 of 2013 etc. (2014 PTD 243) & Messrs Mustafa Impex, Karachi and others Vs. The Government of Pakistan through Secretary Finance, Islamabad and others (PLD 2016 Supreme Court 808)

hence the rules also are in the same position, however, learned counsel in particular, drew attention of the Court towards the procedure for grant of license and fixation of the fee etc to highlight that granting of the license and fixation of the fee/amount is to be done by the Federal Board of Revenue as per Sales Tax Act, 1990, whereas in the Rules, it has been made domain of the Licensing Committee and the licensee hence provisions are ultra vires the parent statute. It was further contended that under section 40C of Sales Tax Act, 1990 as well as Rules of 2006, it is the obligation of the licensee to provide necessary equipments as well as stamps etc., whereas through the impugned Sales Tax General Order, this has been thrust upon the petitioners. Learned counsel drew attention of the Court towards Sales Tax General Order No.01 of 2021 dated 11.03.2021 to substantiate his argument and state that under clause 3 thereof, direction has been issued to all the manufacturers of tobacco products to make necessary arrangements for importation of applicators and other equipments etc. Likewise, attention was drawn towards Sales Tax General Order No.08 of 2022 dated 18.01.2022, under which, no tobacco products manufactured/produced in Azad Jammu and Kashmir and erstwhile FATA/PATA shall be allowed to be entered into Pakistan's territory without affixation of tax stamps; as per Addendum dated 26.04.2022, the implementation date for the Sales Tax General Order was extended to 20.05.2022; lastly, attention was drawn towards FBR's letter dated 18.05.2022 addressed to the relevant Commissioners to ensure monitoring of tobacco products in accordance with mandate of law.

5. Other learned counsel, appearing for the petitioners, adopted the submissions of Mr. Mansoor Usman Awan, Advocate Supreme Court.

6. Mr. Qasim Wadood, Advocate, appearing for Federal Board of Revenue, contested the petitions in hand and submitted that amendments made in the Sales Tax Act, 1990 through section 40C ibid qualify as money bill. It was contended that under Article 73 of the Constitution of the Islamic Republic of Pakistan, 1973, a financial matter is to be amended through a money bill and that referred provision of the Article starts with non-obstante clause, hence Article 70 of the Constitution is not applicable to any money bill and the matters falling within sub-article (2) of Article 73 are deemed to be a money bill. It was argued that amendment made in section 40C is for the purposes of regulating the tax and incidental to the provision of section 40C(1) & 40C(2), hence the matter falls under Article 73(2)(a)(g) of the Constitution as sales tax imposed needs to be monitored and regulated. It was further submitted that section 40C, which came in its present form in two stages, was only a regulatory provision and not a levy in the form of fee in itself. Reference was made to case law mentioned

in the footnote [3]. It was further contended that section 40C(3) only regulates the procedure for procuring the applicators and the tax stamps and nothing else. It was argued that Chapter XIV-B is not ultra vires the parent statute, as it only regulates and no provision thereof is violative of parent statute or the Constitution as such. It was contended that even Sales Tax General Orders are also in the form of regulatory framework rather than imposition of any fresh charge and are not in any way contrary to either the Constitution or the Sales Tax Act, 1990.

7. Learned Additional Attorney General supported the contentions of learned counsel for FBR.

8. During course of proceedings, an application was filed on behalf of Pakistan Tobacco Company Limited to be impleaded as respondent, which was made accordingly a party by virtue of order dated 22.09.2022 in CM No.3330-2022. Learned counsel for Pakistan Tobacco Company Limited also supported the contentions of learned counsel for FBR.

9. Submissions made by learned counsel for the parties have been heard and the documents, placed on record, examined with their able assistance.

10. The relevant facts have been cited above hence do not need reproduction. 11. The petitioners claim multiple reliefs in the instant petitions, but primarily, attack on the vires of Section 40-C [in particular section 40C(3)] of Sales Tax Act, 1990 (the Act), has been made. For the ease of convenience, relevant section is reproduced below:-

“40C. Monitoring or tracking by electronic or other means.-

(1) *Subject to such conditions, restrictions and procedures, as it may deem fit to impose or specify, the Board may, by notification in the official Gazette, specify any registered person or class of registered persons or any good or class of goods in respect of which monitoring or tracking of production, sales, clearances, stocks or any other related activity may be implemented through electronic or other means as may be prescribed.*

(2) *From such date as may be prescribed by the Board, no taxable goods shall be removed or sold by the manufacturer or any other person without affixing tax stamps, banderole, stickers, labels, etc. in any such form, style and manner as may be prescribed by the Board in this behalf*

(3) *Such tax stamps, banderoles, stickers, labels, barcodes etc., shall be acquired by the registered person preferred to in subsection (2) from a licensee appointed by the Board for the purpose, against*

3 Workers Welfare Funds and Others Vs. East Pakistan Chrome Tannery Pvt. Ltd. (PLD 2017 Supreme Court 28), Soneri Bank Limited through Authorized Attorneys Vs. Federation of Pakistan through Secretary of Law and 2 others (2015 PTD 1030) & Qasim International Container Terminal Pakistan Ltd. through Authorized Attorney and others Vs. Federation of Pakistan through Secretary and others (2020 PTD 1952)

price approved by the Board, which shall include the cost of equipment installed by such licensee in the premises of the said registered person”.

Section 40C (1) & (2) were incorporated in the Act through Finance Act, 2013, whereas subsection (3) was added subsequently through Finance Act, 2015.

12. The thrust of the arguments, while attacking Section in question, is that incorporation through Finance Acts, 2013 & 2015 could not have been made, as the same does not amount to a „Money Bill“ and could have only been done through separate legislation. In order to understand the said argument raised by both the sides, the scheme of the Constitution for introduction and passing of the legislation needs to be appreciated. In this regard, Article 70(1) of the Constitution of the Islamic Republic of Pakistan, 1973 (the Constitution) provides that a Bill with respect to any matter in the Federal Legislative List may originate in either House and shall, if it is passed by the House in which it originated, be transmitted to the other House; and, if the Bill is passed without amendment by the other House also, it shall be presented to the President for assent. Article 73 of the Constitution provides different procedure for a Money Bill; in this behalf, relevant Article starts with non-obstante clause and stipulates that notwithstanding anything contained in Article 70, a Money Bill shall originate in the National Assembly. Under the proviso to the referred Article, simultaneously when a Money Bill, including the Finance Bill containing the Annual Budget Statement, is presented in the National Assembly, a copy thereof shall be transmitted to the Senate which may, within fourteen days, make recommendations thereon to the National Assembly; under sub-Article 1(A), National Assembly is to consider the recommendations of the Senate and after the Bill has been passed by the Assembly with or without incorporating the recommendations of the Senate, it shall be presented to the President for assent. The distinction between Articles 70(1) & 73 is that there is no requirement for a Money Bill to be passed by the Senate. Sub-Article (2) of Article 73 of the Constitution provides for the purposes of legislation a Bill or amendment shall be deemed to be a Money Bill if it contains provisions dealing with all or any of the matters mentioned in sub-article; where the imposition is with respect to a fine or penalty or for the demand or payment of a license fee or a fee or charge of any service rendered, it is not to be regarded as a Money Bill. In case of any dispute, as to whether a Bill is a „Money Bill“, the decision of the Speaker of the National Assembly is to be regarded as „final“.

13. The referred constitutional mechanism received judicial consideration in a number of cases. In case reported as [⁴], the Supreme Court observed that in order to determine the nature of a Bill and whether it falls within the scope of „Money Bill“, it is to be considered where levies/contributions in question under various laws are in the nature of „tax“ which would render the amendment thereto through Finance Act valid and lawful. The Supreme Court went on to explain that while a fee is not a „tax“ hence to try and squeeze the contribution/payments into the definition of a fee in order to take it out of the ambit of a tax would be wrong. It was observed that under Article 73(3)(a) of the Constitution, a Bill is not to be regarded as a „Money Bill“ if it provides for the imposition or alteration of a fee or charge but that does not amount to that fee or any levy that does not fall within Article 73(2); it must necessarily fall within Article 73(3), as two Articles are mutually not exclusive, as there may well be certain levies which do not fall within the purview of Article 73(3) but also do not fall under Article 73(2). In another matter as footnoted [⁵], the Supreme Court of Pakistan, while determining the nature of levy in GIDC Act, 2015 and considering the distinction between „fee“ and „other charge“, observed that a bill of GIDC Act, 2015 was introduced under the provisions of Article 70 of the Constitution by treating it as a specie of fee-levying enactment, which was accordingly passed by both the Houses of the Parliament. It was opined that it was done for the reason that when GIDC Act, 2011 was introduced in the National Assembly as a Money Bill, the same was struck down in case „Federation of Pakistan and another Vs. Durrani Ceramics and others (2014 SCMR 1630). The Supreme Court went on to explain the nature and type of fee and distinction between fee generally and the cess and observed as follows:-

“20. There are two kinds of fee-imposing legislative enactments which have been defined in various judicial pronouncements, both from our as well as foreign jurisdictions. One is based purely on the principle of quid pro quo i.e. a charge is payable for rendering a specific service or extending a specific privilege which the payers can avail subject to the conditions that may be attached to it. In other words, it can be called as 'fee-simplicitor'. In such an enactment there is direct and immediate correlation in absolute terms between the service that is rendered and the fee that is charged for it. The other kind of a fee-levying legislation is where Cess is imposed as a compulsory exaction in the same manner where taxes are imposed with the distinction that it is imposed for achieving a specific purpose promised in the enactment itself which when realized would bring some advantage or benefit for the payers in future. It can be described as 'purpose specific' and in many judicial pronouncements have been termed as 'Cess-fee'. In such

4 Workers Welfare Funds and Others Vs. East Pakistan Chrome Tannery Pvt. Ltd. (PLD 2017 Supreme Court 28)

5 Messrs Khurshid Soap and Chemical Industries Pvt. Ltd. and others Vs. Federation of Pakistan (PLD 2020 Supreme Court 641)

a form of levy, the specified purpose is pre-committed to the payers before the revenue is collected under the legislation. To quote a few examples, Cess is imposed to meet the extraordinary costs involved in providing infrastructure such as construction of dams or for importing oil or gas from abroad through pipelines or to build farm to mill roads in order to facilitate marketing of the agricultural produce or for conducting research and development in some specialized field. In such a form of levy the rule of quid pro quo does not exist in the same sense as it exists in a case where an existing service is rendered or a privilege is extended directly to the payer for a fee. What needs to be taken into consideration is whether the enactment has promised some benefit or advantage for the payers to be made available in future by utilizing the revenue, making it more akin to a fee than a pure revenue raising measure like taxes in general are imposed with no precondition attached for their spending. In a case from the Indian jurisdiction cited by one of the counsel of the appellants reported as *Hinger-Rampur Coal Co. Ltd. and others v. The State of Orissa* (AIR 1961 SC 459) the Supreme Court of India in paragraphs 9 and 10 while discussing a fee-imposing enactment observed as follows:

'If specific services are rendered to a specific area or to a specific class of persons or trade or business in any local area, and as a condition precedent for the said services or in return for them cess is levied against the said area or the said class of persons or trade or business, the cess is distinguishable from a tax and is described as a fee.'

24. The basic difference between the enactment where fee-simplicitor is imposed and where Cess-fee is imposed is that in the former a service or a privilege is made available to the payer directly on the strict principle of quid pro quo whereas in the latter case, the declared purpose comes with a promise to bring some benefit or advantage in future which is basically meant for its payers. Such benefit or privilege once made available on the ground may be availed by others as well but that would not change the status of such fee-levying enactment. It would remain a specie of fee-levying enactment in contradistinction to tax-levying enactment in which no specific purpose or specific service needs to be disclosed by the legislature in order to justify its imposition.

39. The background of the legal history of the controversy in question can be traced back to 2011, when the levy under GIDC Act, 2011 was challenged before the Peshawar High Court which in 2013 declared the levy as ultra vires the Constitution and struck down the GIDC Act, 2011. The Islamabad High Court followed the same course in its judgment in 2014. As a result of these decisions, the matter came before this Court in the case which has come to be known as *Durrani Ceramics* case. This Court in its judgment refused to interfere with the decision rendered by the Peshawar High Court and declared the GIDC Act, 2011 as unconstitutional, holding that the levy in question was in fact a fee and not a tax, hence, it could not have been imposed through a Money Bill. The case came before this Court again in review, which was dismissed in 2015. Later, the Government enacted the GIDC Act, 2015 as a fee imposing enactment. The constitutional validity of the said Act was also challenged before the High Courts. The Sindh High Court declared the levy unconstitutional vide its judgment dated 26.10.2016 whereas the Peshawar High Court upheld the constitutionality of the new Act vide its judgment dated 31.05.2017.

In the same judgment, Mr. Justice Syed Mansoor Ali Shah gave a dissenting note and reiterated, in a very lucid manner, the concept of interpretation of the Constitution under the „living tree doctrine“ and observed as follows:-

“77. It is jurisprudentially settled that the concept of Fee, as opposed to Tax, is premised on a service in return or *quid pro quo*. This essential constituent of Fee needs further elaboration in the backdrop of the present case. Examination of the existing jurisprudence shows that courts have over time laboured to determine whether in a particular case there existed a service in return in order to justify the levy as a Fee as opposed to a Tax. The question never arose regarding the actual delivery of the service, perhaps for the reason that in most of the cases either the service was available or was easily made available in short span of time, so the payer never had a concern regarding the actual delivery of the service. This dimension of time has not come up for discussion in the existing jurisprudence or writings on "Tax v. Fee" in any detail. The facts of the present case have prompted me to consider the time dimension of service to be rendered in return for the payment of a Fee. It cannot be denied that words and phrases take colour, shape and character in a context and mean differently in different contexts. It is worthwhile to remember that there is a living content behind words and phrases, which breathes, and so, expands and contracts with changing times”.

In the dissenting note, Mr. Justice Syed Mansoor Ali Shah stated that a fiscal legislation that imposes fee, must clearly spell out the nature of service to be rendered and the reasonable timeline for delivery of such service; the legislation must provide a complete mechanism including the consequences of stoppage of collection of fee or extension of time or refund of fee in case the project is delayed or cannot be executed in the proposed timeline.

14. In an earlier case mentioned below^[6], the Supreme Court also considered whether cess is a tax or a fee and opined that the matter is to be decided upon examining the facts and circumstances of each case keeping in mind criteria for holding the levy a „fee“ or „tax“. The Court held that cess is a tax for a specific purpose, while fee involves *quid pro quo* meaning thereby that there has to be rendering of service for the fee charged. The Court concluded that since the levy of Gas Infrastructure Development Cess (GIDC) was a fee therefore could not have been introduced through a Money Bill.

15. The competence of Federal Government to levy a tax came up for consideration in the footnoted case ^[7], wherein the Supreme Court held that the levy of tax for the purposes of Federation is not permissible except by or under the authority of Act of Majlis-s-Shoora (Parliament). In another matter mentioned below

6 Federation of Pakistan and another Vs. Durrani Ceramics and others (2014 SCMR 1630)

7 Engineer Iqbal Zafar Jhagra Vs. Federation of Pakistan (2013 SCMR 1337)

[⁸], the Supreme Court struck down Section 38 as ultra vires of section 31 of Sales Tax Act, 1990.

16. In the above scheme of law and interpretation rendered to the provisions of the Constitution, the vires of Section 40C *ibid* is to be examined. It is to be kept in mind that charging section under the Sales Tax Act, 1990 is section 3 thereof, which provides for levy of sales tax at the rate prescribed in the said section on the taxable supplies made by a registered person in furtherance of any taxable activity carried on by him. The other sections and subsections in the referred Act of 1990 cater mechanism for collection and payment of said tax. It is a well-known fact to all persons, who are concerned with the matter that tax evasion in our country is a common phenomenon for multiple reasons and Federal Board of Revenue in particular and the Government in general had been and still are wrestling with the activities and segments of businesses, who otherwise fall within the ambit of sales tax regime to bring them into the tax net and reduce the evasion; one such attempt was the introduction of Track and Tracing System (TTS) with respect to certain goods by virtue of section 40C(1). The introduction of the Section was, as noted above, through Finance Act, 2013 and subsequently subsection (3) was added through Finance Act, 2015. Annually, the budget is presented by the Federal Government through Finance Bill before expiry of Financial Year i.e. 30th of June in respect of year; it contains various budgetary proposals and also includes amendment/repeal or introduction of the fiscal laws.

17. The petitioners are aggrieved of Section 40C *ibid* in general and section 40C(3) in particular that same could not have been introduced through a Money Bill, as it does not have any fiscal implication and/or levy made in the circumstances by way of payment to the licensee for stamps/banderols etc. and acquisition of fee for implementing TTS in the nature of fee.

18. For the purposes of discussion, on the subject below, I would treat section 40C (1) & (2) separately from section 40C(3). In so far as subs-sections (1) & (2) of section 40C *ibid* are concerned, they purely provide a mechanism to plug the evasion in various activities (including tobacco industry); it is not introducing any specific tax or a fee but solely regulating the payment of sales tax and prevent its evasion. The tax here being sales tax levied under section 3(1) of Sales Tax Act, 1990. Subsections (1) & (2) of section 40C clearly fall for the purposes of treatment of the statute as

⁸ Human Rights Case No.14392 of 2013 etc. (2014 PTD 243)

Money Bill under Article 73(2)(a) of the Constitution, hence do not suffer from any deficiency or illegality.

19. In so far as section 40C(3) is concerned, it imposes a certain charge by way of payment for acquisition of the machines and tax stamps, banderoles etc. In the referred subsection, tax stamps, banderoles, stickers, labels, barcodes etc. are to be acquired by a registered person from a licensee appointed by the Board for the purpose, against a price which again is approved by the Board, which include cost of equipment installed by such licensee in the premises of the registered person. To treat the acquisition cost as a „fee“ or imposition of a new tax would be an erroneous interpretation to the statute. Section 40C(3) *ibid* is also only a regulatory measure incorporated in the statute to make the TTS as efficient as possible. The cost of course is a natural implication of regulatory measure and does not and would not amount to „fee“ in any manner, as there is no element of *quid pro quo* or the service to be rendered by the licensee/Federal Board of Revenue. On the touchstone of the interpretation handed down by the judgments of the Supreme Court of Pakistan mentioned hereinabove, the levy of cost or acquisition expense is not a „fee“. It is not always the nomenclature or the words that are used which are to be seen as having literal meaning while interpreting the statute; the pith and substance of the same is to be considered. Though the legislature in this case has not regarded the cost as fee but the interpretation, that is being given to it by the petitioners, would be a misconceived argument as subsection (3) of section 40C *ibid* again is a regulatory measure and would fall under Article 73(2)(a) and (g) of the Constitution.

20. On the basis of above discussion and opinion, I do not believe that Section 40C *ibid* of the Sales Tax Act, 1990 is ultra vires the Constitution on the basis that same got incorporated through two different Finance Acts as Money Bill inasmuch as they are merely regulatory measures to make the payment of sales tax efficient and plug the holes of evasion.

21. The petitioners also have challenged various provisions of Sales Tax Rules, 2006; in this regard, Chapter XIV-B has been sought to be declared as ultra vires. Chapter XIV-B was introduced in the Sales Tax Rules, 2006 by Notification No.SRO 250(I)/2019 dated 26.02.2019. The referred Chapter provides for implementation of the regulatory system introduced under section 40C *ibid* and is titled „Electronic Monitoring, Tracking and Tracing of Specified Goods and Licensing Thereof“. It provides a detailed mechanism for award of license to the licensee for the purposes of providing stamps, banderols, barcodes etc. to the taxpayers. One specific attack was made that a licensing committee has been constituted, whereas entire function is

of the Board under the Act of 1990, however, such argument is not correct, as the final award of the license is by the Board on the recommendations of the licensing committee; the procedure thereof is prescribed in Rule 150ZM and also the functions of the licensing committee. Sub-Chapter 5 provides for fee and charges (Rule 150ZQG); in this behalf, under sub-rule (1), the licensee is to charge fee for tax stamps from the manufacturer or importer. Though words „fee“ and „charge“ have been used in sub-rule (1), but fee here is in the nature of charge only as no *quid pro quo* is provided and as noted above, mere nomenclature does not make the charge or the levy a „fee“ or a „tax“ unless pith and substance of the same is examined. Under Rule 150ZQH, the licensing committee is to determine fee and charge which is to be collected by the licensee from all importers and manufacturers but the same is to be notified by the Project Director. Since at the time of grant of license on the recommendations of the licensing committee, financial bids are made by the applicants to be appointed as licensee and the approval thereof is accorded, in essence, the cost of acquisition of the stamps etc. is approved by the Federal Board of Revenue and not the licensing committee. Though it does show in Rule 150ZQH that licensing committee at the time of issuance of license decides maximum amount of fee or charge, which can be collected by the licensee but since entire system works in a manner that approval is accorded by the Board hence, in essence, charge is and by the Board.

21. Another aspect of the *lis* is letters written by the revenue authorities for purpose of import or installation of the machines; though acquisition cost as provided in section 40C(3) is to be borne by the taxpayer and the machine is to be provided by licensee yet as such, asking the taxpayer to import the machine in itself does not make the impugned letter ultra vires the parent statute. The entire scheme or the state of affairs does not, in any manner, make the rules or the letters by the tax authorities violative of the provisions of the Sales Tax Act, 1990.

22. For the above reasons, instant writ petitions are without merit and are accordingly dismissed. Since writ petition, out of which aforementioned Criminal Original arose, stood dismissed, no case is made out for issuance of contempt notices or proceeding further in the same; consequently, Criminal Original is dismissed as well.

(CHIEF JUSTICE)

Announced in Open Court on 10.04.2023

(CHIEF JUSTICE)

Zawar